

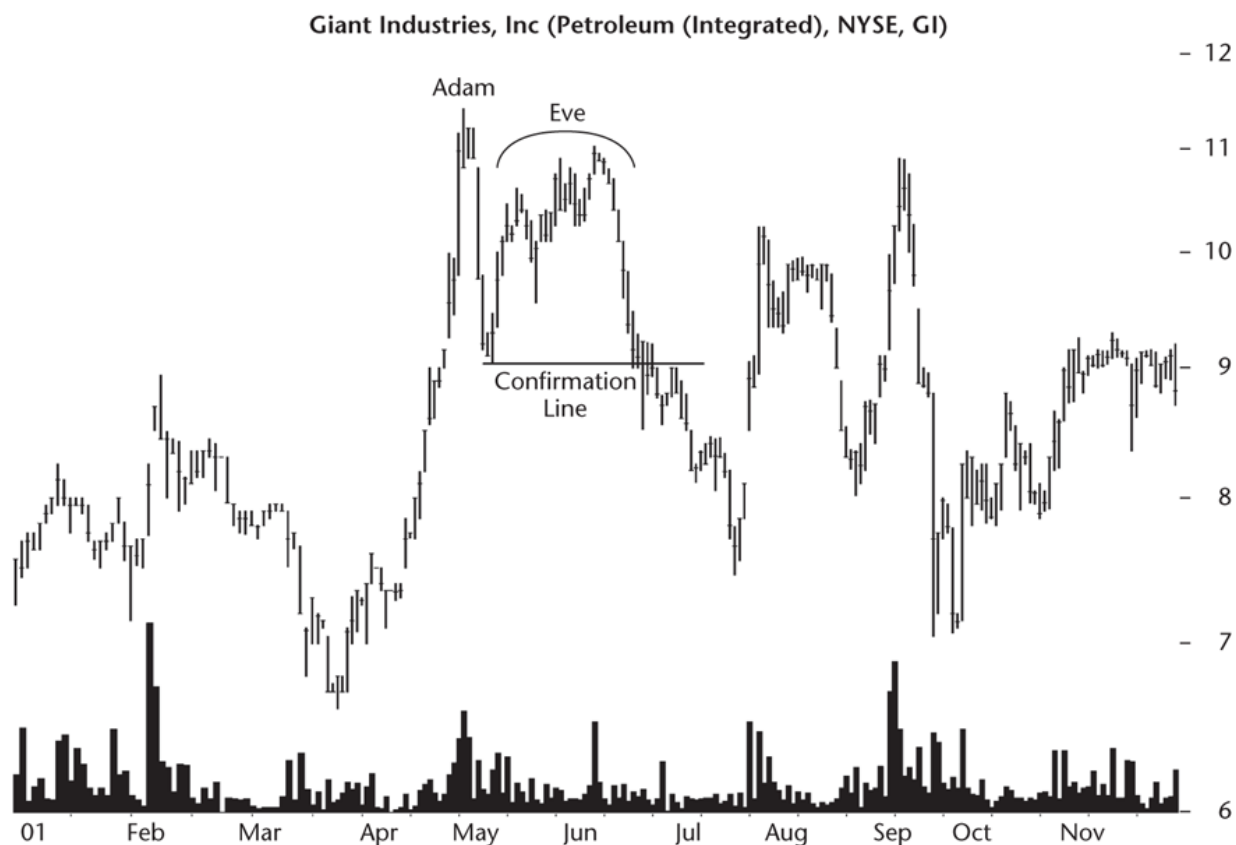


Figure 31.4 This Adam & Eve double top shows the difference between each peak's width.

After a prolonged attempt at creating a third peak in late August and into September, price gapped (continuation gap) below the confirmation point at 15.75. Price broke out downward. The smart money sold their shares immediately and licked their wounds. Others hoped the selling was overdone while still others sold short.

The stock attempted a pullback in mid-October but gave up. For the next several years, price failed to rise above the high established by the double top.

Figure 31.4 shows another example of a double top. The Adam peak does not have a long, one-day price spike. Rather, the peak is narrow when compared to the Eve counterpart. Look at the width of each peak near the confirmation line, and you will see what I mean. If the top shape does not make it easy to identify the pattern, look at the base's width—sometimes that helps. At the confirmation line, the Adam peak remains narrow but Eve remains wide.